STARTER KIT · 2026 EDITION

Biashara Records Kit
M-Pesa & eTIMS Starter Guide

Keep simple records, stay ready for KRA, and know your real profit. 10 minutes a day.

Rekodi rahisi za biashara — dakika 10 kwa siku.

Important: This guide is general education for small business owners. It is not tax or legal advice. Tax rules in Kenya change often: always confirm current rules, rates and deadlines on **kra.go.ke**, at a KRA service centre (Huduma Centre) or with a qualified tax professional. Not affiliated with or endorsed by Kenya Revenue Authority (KRA) or Safaricom PLC. M-Pesa is a trademark of Safaricom PLC.

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> **Your kit has two parts:**
> 1. **This guide**: read it once, then keep the checklists handy.
> 2. **Biashara-Records-Kit-Tracker.xlsx**: your daily record book. It works in Excel, or in Google Sheets on your phone (sheets.google.com → File → Import).

1. Why records matter now

Many small businesses in Kenya still keep records in a notebook, or not at all. Sales come in through M-Pesa, cash, WhatsApp orders and credit to regular customers, and by month end nobody knows the real profit.

From **1 January 2026**, KRA has said it will check the income and expenses people declare in their tax returns against electronic data, including **eTIMS invoices**, withholding tax records and customs records. In practice:

- A business **expense without a valid eTIMS invoice may not be accepted** as a cost when KRA works out your income tax. If the cost is rejected, your taxable profit goes up.
- Your **sales** may be compared with other data, such as what your customers claim as purchases from you.
- Good records protect you if KRA asks questions. They also show you which products actually make money.

> **The key habit:** for every business purchase, ask for an **eTIMS invoice with your KRA PIN** on it. The tracker turns an expense red if you don't have one.

Records also help you grow

- Know your true profit, not just the money in your M-Pesa.
- See which customers owe you, and follow up.
- Show clean records when you apply for a loan, a tender or a supplier credit line.

2. eTIMS in plain language

eTIMS (electronic Tax Invoice Management System) is KRA's system for creating tax invoices electronically. Each eTIMS invoice is recorded by KRA, so both you and your customer have proof of the transaction.

Question	Simple answer
Who is it for?	KRA says eTIMS applies to people carrying on business, whether or not they are registered for VAT. There is a simpler version, **eTIMS Lite**, made for small and micro businesses that are **not** VAT registered.
Does it cost money?	KRA's own eTIMS options (eCitizen web, *222# USSD and the eTIMS app) are free to use. Paid software that connects to eTIMS is optional.
Do I issue one for every sale?	eTIMS invoices are meant for your business sales. Customers who are businesses will ask for them, because they need them to claim the cost. Confirm with KRA whether you must issue one for every small cash sale.
What if my supplier is very small?	KRA rules allow a buyer to issue a tax invoice on behalf of certain small suppliers (a "reverse invoice"). Ask KRA or a tax professional whether this applies to you.

> Rules and thresholds are reported differently by different sources. When in doubt, the official KRA eTIMS page (kra.go.ke → eTIMS) is the final word.

3. Getting onto eTIMS: three free options

Before you start, have your **KRA PIN**, your **iTax password** (or eCitizen account) and the **phone number linked to your KRA PIN**.

Option	Best for	How to start
eTIMS Lite: web (through eCitizen)	Using a smartphone browser or computer	Go to the KRA eTIMS page on kra.go.ke, choose the eTIMS Lite / eCitizen option, sign in and follow the onboarding steps.
eTIMS Lite: USSD *222#	Any phone, no internet. For individuals and sole proprietors.	Dial ***222#** from the SIM linked to your KRA PIN and follow the menu prompts to register and create invoices.
eTIMS app (for non-VAT businesses)	Smartphone users who issue many invoices	Download KRA's official eTIMS app for non-VAT taxpayers from the Play Store and sign in with your KRA details.

Tip: Menus on *222# and the app can change, so read each screen carefully rather than memorising numbers. If you get stuck, visit a Huduma Centre or KRA service desk, or call the KRA contact centre listed on kra.go.ke.

Watch out for scams. KRA does not ask for your password or PIN by SMS or WhatsApp. Only use official KRA channels and apps.

After you are onboarded

1. Add the **items or services** you sell (name, price) so invoicing is quick.
2. Make one **test invoice** for a small sale so you learn the steps.
3. Write the eTIMS invoice number in column L of the **Sales** sheet in your tracker.

4. Issuing an eTIMS invoice: step by step

1. **Get the customer's details.** For a business customer, ask for their **KRA PIN** and name. *"Naomba KRA PIN yako ili nikutumie invoice ya eTIMS."*
2. **Open eTIMS** (web, *222# or app) and choose to create a sales invoice.
3. **Enter the customer's PIN**, the item(s), quantity and price.
4. **Check, then confirm.** eTIMS creates the invoice and gives it a number.
5. **Send it to the customer**: SMS, WhatsApp, email or print, depending on the channel you used.
6. **Record it** in your tracker: Sales sheet → "eTIMS invoice issued?" = Yes, and type the invoice number.

Good practice

- Make the invoice **at the time of the sale**, not at month end.
- Make sure the **amount matches** what the customer paid on M-Pesa.
- If you make a mistake, use the eTIMS option to correct it (a credit note). Don't just ignore it.

5. Getting eTIMS invoices from your suppliers

This is the habit that most directly protects you. Every business purchase without an eTIMS invoice is at risk of being rejected as a cost.

What to say: copy and send

English	Kiswahili
"Hello, please send me an eTIMS invoice for today's purchase. My KRA PIN is _____. Thank you."	*"Habari, tafadhali nitumie invoice ya eTIMS ya mzigo wa leo. KRA PIN yangu ni _____. Asante."*
"I can only pay against an eTIMS invoice. Can you generate it now?"	*"Nitalipa nikipata invoice ya eTIMS. Unaweza kuitengeneza sasa?"*
"You can do it for free on *222# or the KRA eTIMS app."	*"Unaweza kuitengeneza bure kupitia *222# au app ya KRA eTIMS."*

Make it automatic

- Save your KRA PIN as a note on your phone so you can paste it quickly.
- Prefer suppliers who issue eTIMS invoices without being asked. Over time, move your regular buying to them.
- In the tracker, the **Expenses** sheet turns a row red when "eTIMS invoice received?" is not "Yes". Clear the red rows every week.
- Ask a tax professional how to handle costs where an eTIMS invoice may not apply (for example some wages, bank charges or exempt items). Mark those as "Not needed" only once you are sure.

6. Which tax applies to you? A simple map

This map gives you the right questions to ask. It is **not** a ruling on your situation.

Your situation (commonly reported)	Tax to ask KRA about
Resident small business, yearly sales roughly between **KSh 1 million and 25 million**	**Turnover Tax (TOT)**: a percentage of gross sales. It has been reported as **1.5%**; confirm the current rate and how often you must pay.
Taxable sales of **KSh 5 million or more** in any 12 months	**VAT registration** is required. A VAT-registered business cannot use Turnover Tax.
Yearly sales below about KSh 1 million, or you choose not to use TOT	**Income tax** on your profit, declared in your annual return. Here, eTIMS-backed expenses matter most.

> In your tracker, set **Settings → Tax regime** and **Estimated tax rate**. The **Monthly Summary** then shows a rough estimate so you can **save the money in advance**. It is only an estimate: KRA's systems (iTax / eCitizen) calculate what you actually owe.

Simple money rule

Every time money comes in, put a small percentage aside in a separate M-Pesa savings wallet or bank account for tax. Then tax day isn't a shock.

7. Setting up M-Pesa for your business

Option	Good for	Notes
Pochi la Biashara	Very small sellers and hawkers	Uses your personal line but keeps business money in a separate wallet.
Buy Goods Till	Shops, kiosks, salons, food vendors	Customers pay to a till number. Easy to see daily sales.
Paybill	Businesses that need an account number per customer (schools, landlords, suppliers)	Each payment carries an account reference, which helps you track who paid.

Check current tariffs and requirements with Safaricom before choosing.

Golden rules

- **Separate business and personal money.** Personal transactions mixed in make your records useless.
- Pay yourself a fixed amount and record it as **Owner Drawings** in the tracker. The sheet leaves drawings out of business costs.
- Always record the **M-Pesa transaction code** (e.g. SKL4ABC123). It is your proof of payment.
- Download your **M-Pesa statement** every week (in the M-Pesa app, or by requesting it through the M-Pesa menu or the Safaricom app) and paste it into the tracker's **M-Pesa Check** sheet.

8. The 10-minute daily routine

Do this at closing time, every day. *Kila siku, kabla ya kufunga.*

Min	Do this	Tracker sheet
0–4	Record each sale: item, amount, payment method, M-Pesa code	Sales
4–7	Record each payment you made, and whether you got an eTIMS invoice	Expenses
7–8	Record any credit given or money received from people who owe you	Debtors
8–9	Count your cash and compare it with the cash sales total	Sales
9–10	Send one eTIMS request to any supplier still marked red	Expenses

> **On your phone:** import the tracker into Google Sheets and pin it to your home screen. Then recording a sale takes 20 seconds.

Daily checklist

- ☐ All sales recorded with payment method
- ☐ All M-Pesa codes typed
- ☐ All expenses recorded with eTIMS status
- ☐ Credit sales added to Debtors
- ☐ Cash counted and matches

9. Weekly and month-end checklists

Every week (15 minutes)

- ☐ Download the M-Pesa statement and paste it into **M-Pesa Check**. Fix every orange "MISSING" row.
- ☐ Go through red rows in **Expenses** and follow up with suppliers for eTIMS invoices.
- ☐ Send polite reminders to **OVERDUE** debtors and record the date in "Last reminder sent".
- ☐ Back up the file (download a copy or keep it in Google Drive).

Every month end (30 minutes)

- ☐ Open **Monthly Summary** and look at sales, expenses and profit.
- ☐ Check **% of expenses covered by eTIMS**. Aim for as close to 100% as possible.
- ☐ Move the estimated tax amount into your tax savings.
- ☐ File and pay any returns due on iTax / eCitizen by KRA's deadline. Confirm the dates on kra.go.ke.
- ☐ Note your best-selling items and the costs you can cut next month.

Debtor reminder (copy and send)

"Habari [jina], natumai uko salama. Nakukumbusha kuhusu salio la KSh [kiasi] la [tarehe]. Unaweza kulipa kupitia Till/Paybill [namba]. Asante sana!"

"Hi [name], hope you're well. A friendly reminder about the balance of KSh [amount] from [date]. You can pay via Till/Paybill [number]. Thank you!"

10. Ten common mistakes

1. **Mixing personal and business M-Pesa.** Use a Till, Paybill or Pochi for the business.
2. **Not asking suppliers for eTIMS invoices.** Costs may be rejected and you pay more tax.
3. **Recording only M-Pesa sales.** Cash sales count too.
4. **Forgetting credit sales.** If it isn't written down, it often never gets collected.
5. **Waiting until month end to record.** You will forget things. Do it daily.
6. **Counting all money received as profit.** Profit = sales − costs. Check the Monthly Summary.
7. **Spending the tax money.** Set it aside as you earn.
8. **Sharing your KRA password.** Never send it to anyone by SMS or WhatsApp.
9. **Relying on social media "tax tips".** Check with KRA or a professional.
10. **Not keeping a backup.** Phones get lost. Keep the tracker in Google Drive.

11. Word list: English / Kiswahili

English	Kiswahili	Meaning
Sales	*Mauzo*	Money from selling goods or services
Expenses / costs	*Matumizi / Gharama*	Money spent to run the business
Profit	*Faida*	Sales minus expenses
Loss	*Hasara*	When expenses are more than sales
Stock	*Mzigo / Bidhaa*	Goods you buy to sell
Debtor	*Mdaiwa*	A customer who owes you money
Credit sale	*Mkopo / Kukopesha*	Selling now, payment later
Invoice	*Ankara / Invoice*	A bill showing what was sold and the price
Receipt	*Risiti*	Proof that payment was received
Tax	*Kodi / Ushuru*	Money paid to the government
Record keeping	*Utunzaji wa rekodi*	Writing down every transaction

Need help setting up? Contact the seller of this kit for the done-for-you setup service: we fill in your Settings, load your items and show you the daily routine.

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